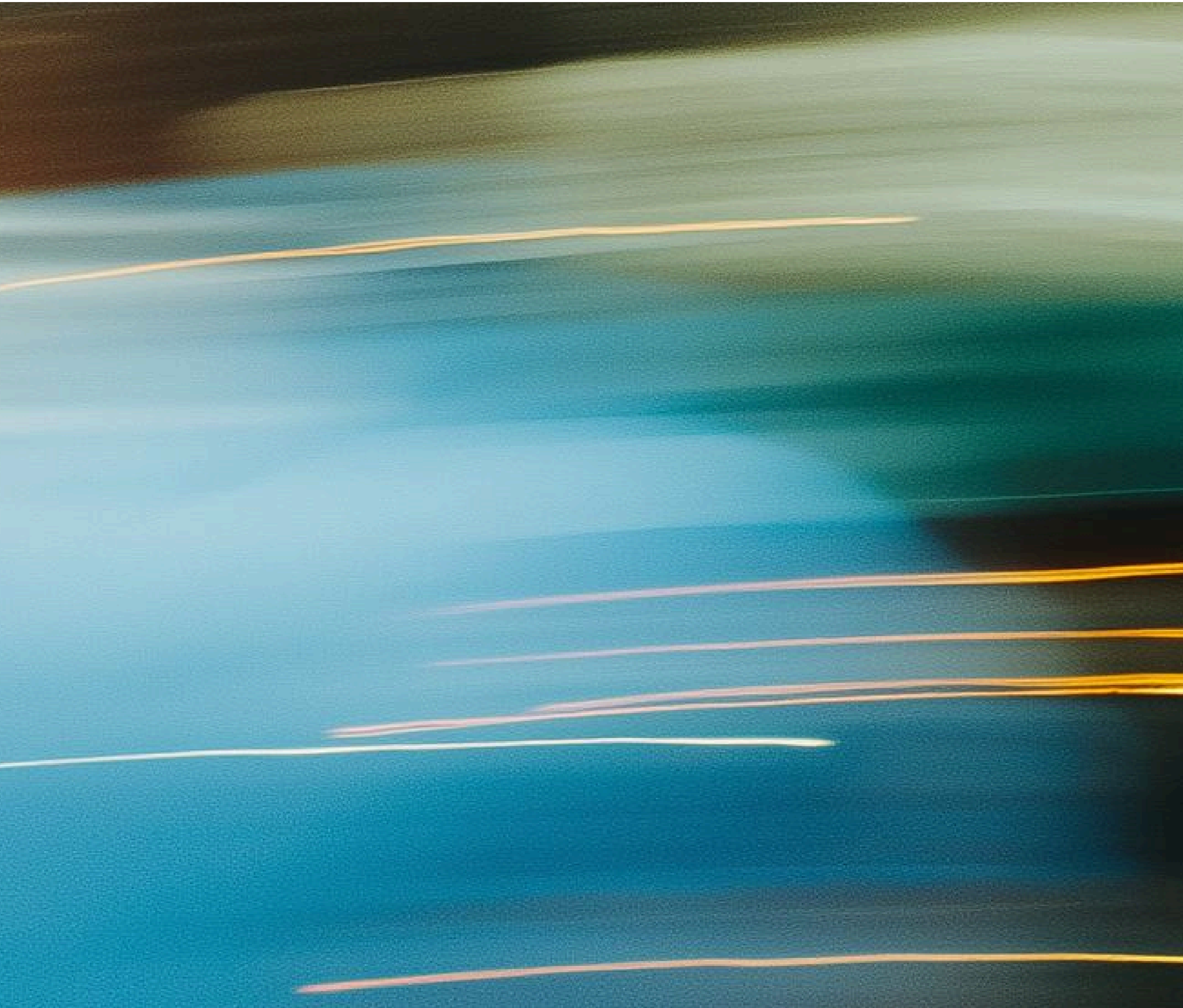


Launching Stablecoin Payment Products

A Practical Guide for Banks



Executive Summary

Customers are asking their banks for stablecoin payments because they are cheaper, settle in seconds, and don't stop for weekends or holidays. For banks, the best place to start is by offering outgoing stablecoin payments. Businesses would rather make these payments through their existing bank than maintain a separate crypto account, creating a clear opportunity for banks.

Businesses are increasingly using stablecoins for cross-border payments. McKinsey estimates more than \$390 billion in real stablecoin payment volume over the past year, with nearly 60 percent coming from business-to-business payments.

While crypto-native companies are capturing this emerging demand, banks are well positioned to compete. Businesses already rely on their banks for payment and treasury management services and would prefer to use their existing banking channels rather than manage a separate stablecoin account.

This article explains how banks can begin offering stablecoin services by enabling outgoing payments to vendors and contractors. It covers how the stablecoin payment flow works, which infrastructure and partners are required, and how stablecoins enable banks to offer new products with healthy margins.

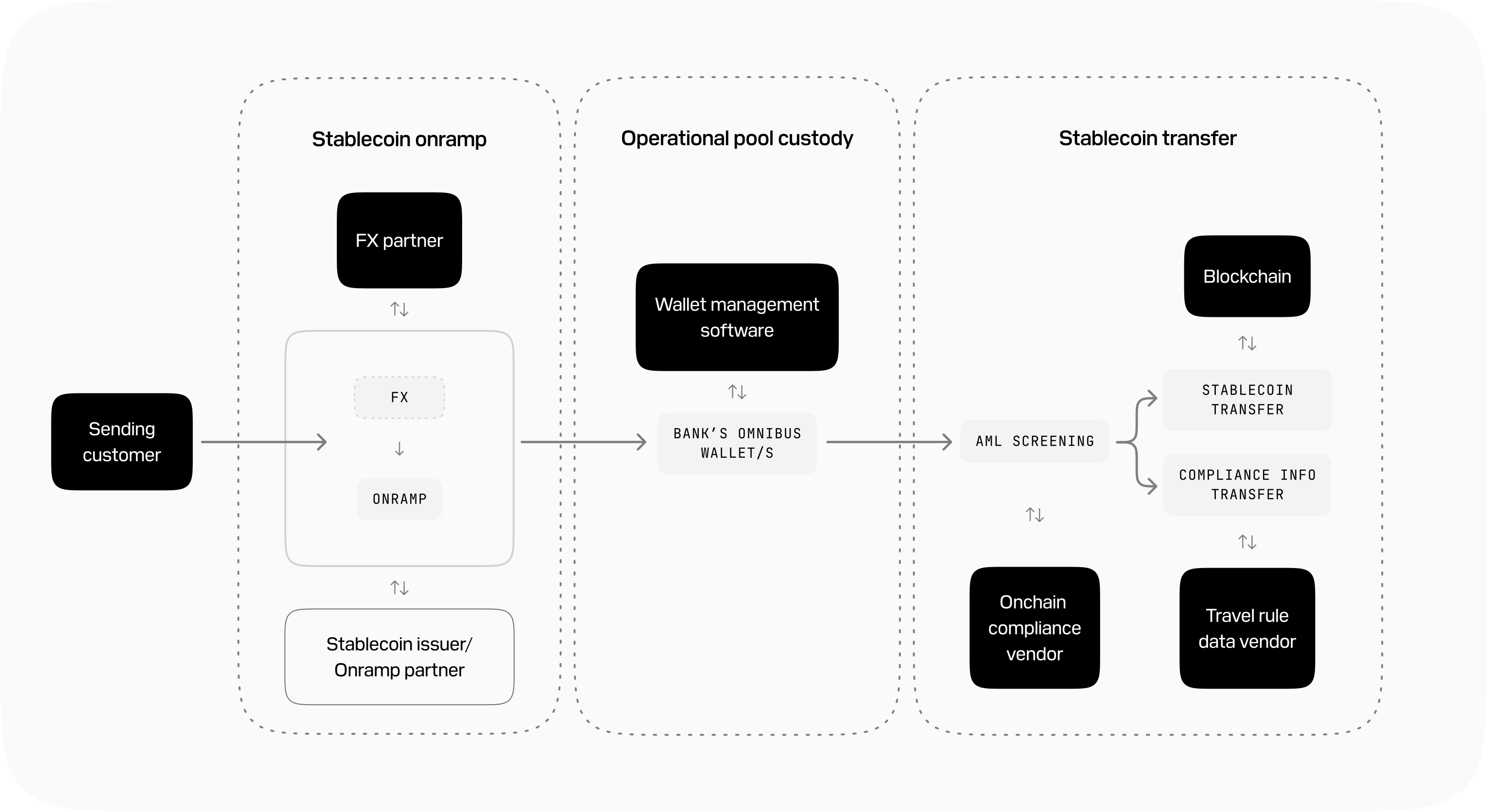
How outgoing stablecoin payments work

For the customer, the experience should be straightforward and familiar. They make an outgoing payment in stablecoins using their existing fiat balance, through the same channel they already use for any other payment.

To enable this experience, the bank does three things:

01	02	03
Converts the fiat balance into stablecoins	Maintains an operational pool of stablecoins	Makes the stablecoin payment on customer’s behalf

The process at each step



Step 1: Onramp to stablecoins

Most stablecoin payments are currently made in dollar-denominated stablecoins, so the balance has to be converted into dollars first. Unless the customer already holds dollars, converting starts with an FX trade, say euros into dollars.

Then the bank turns those dollars into stablecoins, a step known as onramping or minting. The stablecoins can come directly from an issuer, from an OTC desk or an exchange, or through an orchestration company like Bridge. The bank needs to establish a direct relationship with its chosen partner to source the stablecoins.

Step 2: Holding the operational pool of stablecoins

Minting stablecoins on demand on every payment introduces delays, so the bank needs to keep a prefunded pool on hand and pay out of that instead. This lets the payment go out immediately, rather than waiting on stablecoins to be sourced.

The bank needs a wallet, a blockchain account it controls, to hold this prefunded stablecoin balance. To start, the bank can send all outgoing payments from a single shared wallet, the onchain equivalent of an omnibus account, rather than opening one for each customer. The bank still tracks ownership in its own ledger, while the blockchain wallet is simply the settlement account.

Step 3: Executing the payment

Executing the payment pulls a few tasks together. The bank collects the payment details from the customer through its existing digital channels, the destination address, the blockchain, and the stablecoin. The bank then screens the transaction against sanctions and AML checks. At this stage it effects the actual transaction: it moves liquidity to the target blockchain and sends the transfer. For business customers, this step also passes Travel Rule data on both the sender and the receiver.

What the bank needs to build it

Building this offering requires a small group of specialist partners:

An **FX provider** to convert the customer's fiat balance into dollars ahead of the onramp. Many banks already have strong FX capabilities and can do this in-house, while others will bring in a provider. Tempo has partnered with several FX providers to offer preferential rates to its customers.

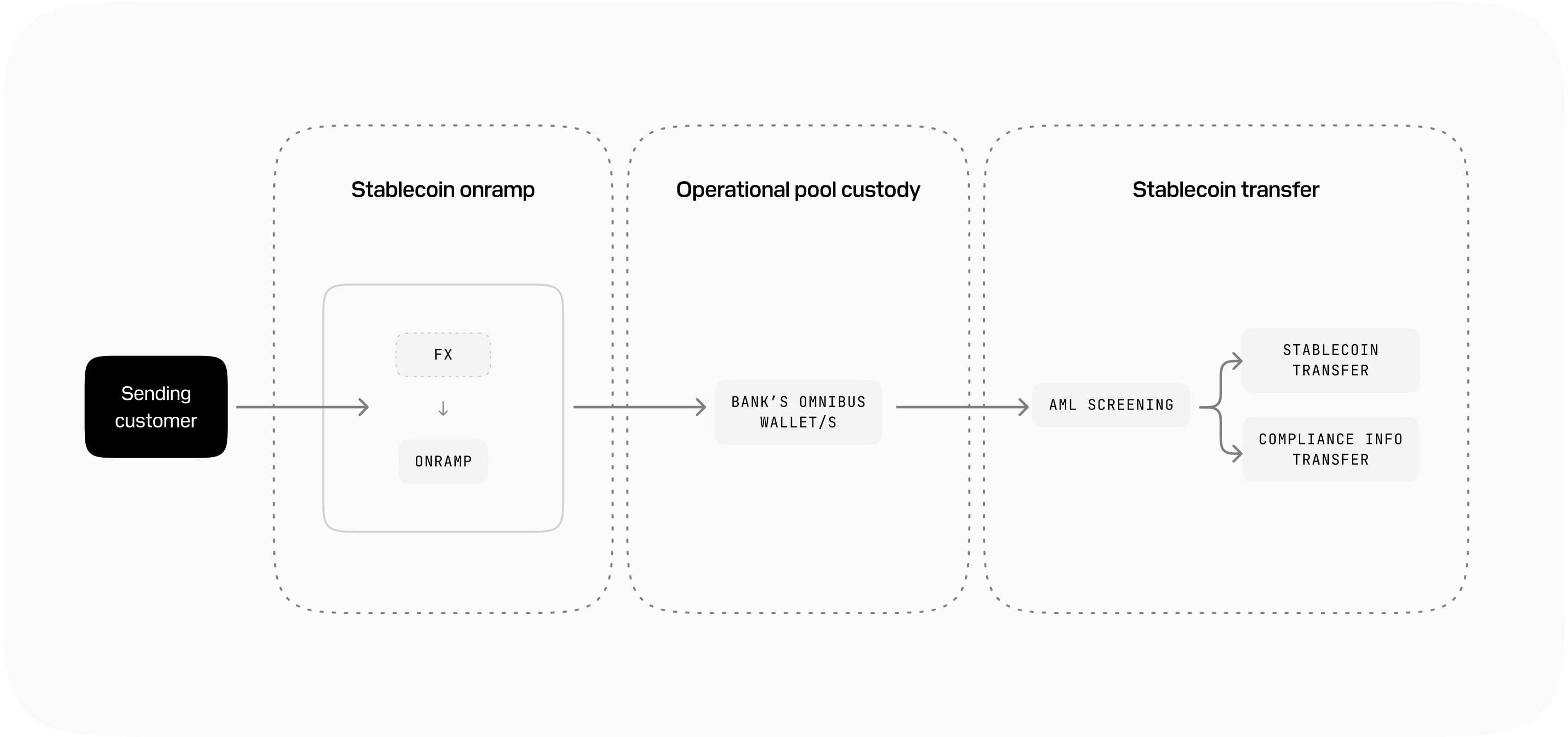
A **stablecoin issuer or onramp partner** to source the stablecoins and handle the fiat-to-stablecoin conversion. A direct issuer relationship gives the best pricing, while an onramp partner is quicker to integrate, but takes a larger cut.

A **custodian or wallet solution** to hold the onchain funds securely. A custodian like Coinbase or BitGo holds them on the bank's behalf, while a solution like Fireblocks or Utila lets the bank self-custody with institutional controls.

An **address screening vendor** like TRM or Chainalysis to check every counterparty address against sanctions lists and flag ties to illicit activity before a payment goes out.

A **Travel Rule data provider** to attach the originator and beneficiary details that regulation requires on larger transfers and exchange them with the receiving institution.

The bank then connects these partners to its existing systems, including its digital channels, payment infrastructure, and core banking ledger.



What to consider for each partner

Partner	What to look for
FX provider	Currency-pair coverage, spreads, settlement and cut-off times, whether the in-house desk already covers it.
Stablecoin issuer or onramp partner	Mint and redemption fees, redemption speed and daily limits, supported chains and currencies, reserve transparency, direct issuer versus aggregator.
Custodian or wallet solution	Custody model (third-party versus self-custody), security certifications and insurance, supported chains, transaction policy controls, pricing.
AML screening solution	Chain and asset coverage, sanctions-list breadth and update speed, false-positive rate, API latency, case management.
Travel Rule data provider	IVMS101 support, counterparty network reach, protocol interoperability, threshold configuration.

The business case

The total cost of providing stablecoin transfers, including FX, onramp, liquidity, and blockchain fees, comes to **roughly 10 to 30 basis points** of the amount sent. This leaves a room for a bank to offer customers a competitive price while still earning an attractive margin.

FX to turn the customer's balance into dollars. A bank running its own desk gets close to interbank rates, so this is near zero. A bank using an external provider generally pays a wholesale spread of a few basis points.

Onramp fees to source the stablecoins. Sourcing stablecoin through an onramp partner typically costs between 5 and 15 basis points. Procuring them directly from an issuer is generally less expensive, but requires separate integrations with each issuer.

Custody to hold the pool securely. A custodian like Coinbase or BitGo charges on assets held, around 50 basis points a year at list price and less when negotiated. Self-custody through Fireblocks or Utila is a fixed subscription that bundles in a set amount of outbound payment volume.

Cost of liquidity for the prefunded pool, roughly 2 to 5 basis points on the payment volume. The bank only needs to hold a few days of payment volume in stablecoins at any time, so the cost of the pre-funded pool is low. If the issuer shares reserve yield, that offsets part of the cost.

Transfer fees on each blockchain payment. On a chain like Tempo, the fee is about a tenth of a cent, and can be paid in stablecoins, so the bank avoids volatile gas prices and does not need to hold a separate gas token. On other chains, transfer fees can cost anywhere from under a cent to a few dollars.

Compliance vendors for address screening and Travel Rule data. Screening from TRM or Chainalysis runs on annual contracts priced on volume.

Against this cost base, the bank can generate revenue in the same two ways it does with a traditional cross-border payment, through the FX conversion and the payment fees.

FX margin. Most stablecoins are US dollar-denominated, so non-dollar payments require an FX conversion that earns the bank a margin.

Payment fees. Stablecoin payments cost less to process than traditional cross-border transfers, so the bank can charge customers less or make more on each payment.

Expanding the Stablecoin Offering

Outgoing payments are the simplest stablecoin use case, but they establish the foundation for other services, such as collections and multi-currency treasury.

The next capability is supporting incoming stablecoin payments. Instead of only enabling customers to send stablecoins, the bank also enables them to receive stablecoins at dedicated addresses. The bank then offramps the stablecoins and credits the customer's fiat account, making stablecoin collections as straightforward as payouts.

Banks can also support additional stablecoins. While US dollar stablecoins dominate today, Euro, Swiss Franc, and Brazilian Real stablecoins are beginning to emerge. This would help banks serve customers with multi-currency needs, such as importers and exporters, logistics and shipping companies, as well as multinational corporations.

Once a bank has the core infrastructure in place, it can expand into more advanced products using the same infrastructure.

Work with Tempo

A bank does not have to work through all of this alone.

Tempo's Advisory Service helps banks and financial institutions go from a first use case to production, covering the strategy, the technical design across custody and compliance, and introductions to vetted partners. If you are weighing where to start, you can reach the team at tempo.xyz/advisory.